

DA MARKET SECURITIES, INC. ·

Employing Intelligent Investing

FIRST NEWS: Institutional Equity Research & Strategy Console
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Module I: Executive Market Ribbon (Hero KPI Cards)

PSEi Benchmark	Net Foreign Flow	Total Market Turnover	Macro Pressure Index
5,843.79 (-0.21%)	-₱860.88M (-\$13.71M)	₱6.87B (1.85B sh)	USD-PHP: ₱62.780 (+₱0.040)
Change: -12.12 pts	Foreign Buy: ₱3.62B	Trades: 104,600	WTI Crude: \$106.25/bbl (+2.36%)
Intraday: 5,831.16 – 5,880.26	Foreign Sell: ₱4.49B	Regular & Block Churn	Brent Crude: \$108.90/bbl
52-Wk: 5,584.35 – 6,673.61	Selling Centered in AC, ICT	All Shares: 3,268.71 (-0.34%)	US 10-Yr Yield: 4.990%
STATUS: 5,840 SUPPORT TEST	STATUS: INSTITUTIONAL OUTFLOW	STATUS: VOLUME EXPANDS TO 1.85B SH	STATUS: PUMP HIKE EFFECTIVE TODAY

Module II: The Call & Actionable Stance Matrix

ACCUMULATE (DEFENSIVE / HIGH MOAT)

- AC (₱533.00, +5.13% | Mitsubishi ₱44.5B strategic investment at ₱650/share tender offer; 22% premium provides massive re-rating catalyst)
- ALI (₱15.18, +1.20% | Rebounded firmly past parent Ayala Corp ₱15.006 benchmark floor; net foreign buying +₱9.90M)
- AEV (₱37.30, +0.95% | Resilient utility and infrastructure fee generation; net foreign buying +₱4.84M)
- MER (₱473.00 | Trading inside high-conviction dip-buy zone < ₱480; system-loss VAT exemption shields retail volume)

MONITOR / SELECTIVE

- SCC (₱16.70, -7.02% | Sharp pullback after Friday's surge; monitor accumulation band at ₱16.00–₱16.50; coal auction termination remains core long-term moat)
- SM (₱513.00, +1.18% | Rebounding from oversold levels; net foreign buying +₱27.73M on ₱515.7M turnover)
- ACEN (₱2.50, flat | Capital discipline evident in dropping two constrained solar sites to refocus on high-return BESS and ready assets)
- BDO (₱113.30, +0.71% | Holding ground; ₱188.9M turnover)
- TEL (₱1,129.00, -0.96% | Accumulation tranche ahead of ₱24.2B VITRO REIT listing)
- BPI (₱99.80, -0.30% | Testing ₱100 psychological threshold; lowest CASA cost of funds in banking)
- SMPH (₱16.50, flat | Defending ₱16.50 support; 12.7M shares traded)
- PLUS (₱8.18, -6.62% | S&P assigns B+ rating; flags customer acquisition cost pressure but affirms 40%-50% long-term market dominance)
- JFC (₱144.00, -1.37% | Consolidating near support)

CAUTION / TRIM

- ICT (₱898.00, -3.44% | Breached ₱900 psychological support to close at ₱898; foreign selling of -₱80.58M on heavy ₱872.1M turnover; wait for base)

- CEB (₱27.00 | Generative AI internal workflow rollout aids operating efficiency, but elevated jet fuel remains an immediate margin drag)
- Fuel-Sensitive Cyclical & High-Debt Utilities | Immediate margin headwind from today's domestic pump price hike (₱2.50–₱3.00/L)
- AGI (Avoid | Ongoing valuation overhang)

High-Conviction Corporate Stance Cards

Ayala Corporation (AC) · Close: ₱533.00 (+5.13%) | STANCE: STRONG
ACCUMULATE

- The Catalyst: Mitsubishi Corp. agreed to increase its economic stake in Ayala Corp to 15% (voting stake to 20%) through a landmark ₱44.5 billion (\$700 million) investment. Crucially, the transaction includes a voluntary tender offer for up to 30 million common shares at ₱650 per share—a 22.0% premium over Monday's close of ₱533. AC will receive approximately ₱20 billion in fresh net proceeds to pay down debt, fund subsidiary share buybacks (including ALI), and accelerate energy transition and digital investments.
- Action Plan: Aggressively accumulate AC on dips. The ₱650 tender offer provides an explicit valuation floor and substantial near-term upside.

DigiPlus Interactive Corp. (PLUS) · Close: ₱8.18 (-6.62%) | STANCE: MONITOR /
ACCUMULATE ON BASE (₱7.80–₱8.00)

- The Catalyst: S&P Global assigned PLUS a B+ rating with a stable outlook, noting that EBITDA margins may compress to 14.5%–16% over the next two years due to higher marketing and customer acquisition costs post-e-wallet delinking. However, S&P emphasized that stricter licensing fees and enforcement will drive weaker rivals out of the market, cementing DigiPlus's dominant 40% to 50% market share alongside its expansion into Brazil and South Africa.
- Action Plan: Allow short-term selling to exhaust; initiate staggered accumulation in the ₱7.80–₱8.00 band as regulatory barriers reinforce long-term moat strength.

Ayala Land, Inc. (ALI) · Close: ₱15.18 (+1.20%) | STANCE: ACCUMULATE

- The Catalyst: Rebounded solidly above parent Ayala Corp's open-market benchmark purchase floor of ₱15.006, closing at ₱15.18 with +₱9.90M in net foreign buying on ₱221.43M turnover (14.63M shares). Ongoing luxury unit

turnovers at Gardencourt Residences in Taguig bolster balance-sheet liquidity, with additional capital support anticipated from parent AC's ₱20B cash injection.

- Action Plan: Maintain aggressive accumulation bids between ₱15.00 and ₱15.15.

Semirara Mining & Power Corp. (SCC) · Close: ₱16.70 (-7.02%) | STANCE: MONITOR / BUY ON RETEST (₱16.00–₱16.50)

- The Catalyst: Underwent sharp profit-taking following Friday's surge, sliding -7.02% to ₱16.70 on net foreign selling of -₱20.08M. Core fundamentals remain unchanged: the Department of Energy's termination of the 2026 Semirara coal bidding round eliminated concession risks ahead of July 2027, and SMPC's 90%+ domestic coal share provides vital baseload power stability with crude oil above \$106/bbl.
- Action Plan: Place staggered limit orders in the ₱16.00–₱16.50 support zone.

International Container Terminal Services (ICT) · Close: ₱898.00 (-3.44%) | STANCE: CAUTION / WAIT FOR BASE

- The Catalyst: Slid below the ₱900 level to close at ₱898.00 on massive institutional turnover of ₱872.09M and net foreign selling of -₱80.58M. Escalating Middle East shipping tensions and higher bunker costs continue to exert margin pressure.
- Action Plan: Stand aside on new purchases; allow a clear trading base to form before accumulating.

Manila Electric Company (MER) · Close: ₱473.00 (-1.46%) | STANCE: ACCUMULATE (< ₱480)

- The Catalyst: Traded down to ₱473.00 on ₱92.84M turnover, moving directly into our designated accumulation band. The removal of 12% VAT on allowable system losses provides ongoing tariff relief to captive retail customers.
- Action Plan: Execute limit-buy accumulation orders between ₱468.00 and ₱475.00.

Module III: Technical Radar & Market Breadth Console

Market Breadth: Advancers 78 (30.6%) | Decliners 115 (45.1%) | Unchanged 62 (24.3%) | Total Traded: 255 Issues | Total Trades: 104,600
Subdued sentiment persisted on Monday as geopolitical uncertainty and impending fuel hikes kept general market participation defensive.

Key Technical Levels

- **Primary Support:** 5,820 – 5,840 (May 2026 reaction low base)
- **Key Resistance:** 5,916 – 5,950 (Previous breakdown band)
- **Major Overhead Ceiling:** 6,000

Sector Performance

- Holding Firms: +1.76% (+72.70 pts) to 4,209.84 (Sole gainer; led by AC)
- Financials: -0.06% (-1.03 pts) to 1,819.60 (Defensive stability)
- Property: -0.56% (-10.11 pts) to 1,787.89
- Services: -0.86% (-27.23 pts) to 3,136.74 (ICT pressure)
- Mining & Oil: -1.42% (-310.74 pts) to 21,549.45 (Dragged by SCC pullback)
- Industrial: -1.50% (-117.13 pts) to 7,685.80 (Steepest sectoral drop)

Module IV: Institutional Flow & Block Churn Matrix

Foreign Fund Flow Dynamics: Net Foreign Selling totaled -₱860.88M (-₱860,878,975.53; Foreign Buy: ₱3.62B vs. Foreign Sell: ₱4.49B).

Top Net Foreign Accumulation (₱)	Top Net Foreign Distribution (₱)
SM: +₱27,731,880	AC: -₱348,938,720
ALI: +₱9,901,268	ICT: -₱80,575,840

Top Net Foreign Accumulation (₱)	Top Net Foreign Distribution (₱)
AEV: +₱4,843,575	TEL: -₱42,486,890
GTCAP: +₱3,210,000	SMPH: -₱32,332,444
DMC: +₱1,850,000	BDO: -₱27,287,875

Turnover Summary

- Total Value: ₱6,867,286,718.74
- Total Volume: 1,852,769,777 shares
- Breadth: 78 Advancers / 115 Decliners / 62 Unchanged

Module V: SmartWatch Corporate & Regulatory Disclosures

- Mitsubishi Corp. Raises Ayala Corp (AC) Stake in ₱44.5-B Deal:
Japan's Mitsubishi Corp. will increase its economic stake in AC to 15% (voting stake to 20%) via a ₱44.5 billion (\$700 million) investment, including a voluntary tender offer for up to 30 million shares at ₱650 per share. Ayala expects ₱20 billion in net cash proceeds to reduce debt, fund share buybacks across listed subsidiaries, and scale up investments in renewable energy, infrastructure, and technology.
- DigiPlus (PLUS) Faces Customer Acquisition Margin Drag, S&P Says: S&P Global assigned DigiPlus a B+ rating (stable outlook), projecting EBITDA margins will normalize to 14.5%–16% over the next two years due to marketing spend following e-wallet delinking. However, higher regulatory barriers and minimum operator fees will drive smaller competitors out of the market, securing DigiPlus's 40%–50% market share lead.
- Mynt \$1.5-B IPO Share Mix Under Scrutiny: Institutional fund managers are evaluating the primary versus secondary share composition in GCash parent Mynt's upcoming \$1.5 billion IPO, weighing growth capital earmarked for digital lending and overseas expansion against sponsor liquidity realization.

- **ACEN Scraps Two Solar Projects Due to Grid Constraints:** ACEN Corporation terminated two planned solar projects due to interconnection hurdles and land site constraints, reallocating capital to battery energy storage systems (BESS) and high-readiness renewable assets to protect portfolio internal rates of return.
- **Cebu Pacific (CEB) Accelerates AI Deployment:** Cebu Air announced the integration of generative AI across schedule planning and crew management, aiming to mitigate fuel and operating cost headwinds through compressed turnaround workflows.
- **PSE Proposes Green Equity Labeling Framework:** The Philippine Stock Exchange issued proposed guidelines for a dedicated Green Equity label, requiring listed companies to derive at least 50% of revenues from taxonomy-aligned green activities, designed to attract global ESG and transition capital.

Module VI: The Intelligent Investor: Generational Wealth & Market Wisdom

The Arithmetic of Volatility & The Resilience of Conglomerate Moats

Monday's trading tape presented two profound case studies in market perception versus fundamental reality: Mitsubishi's ₱650 tender offer for Ayala Corporation and S&P's credit assessment of DigiPlus.

1. The Power of Strategic Anchor Valuations:

When a premier global conglomerate like Mitsubishi commits ₱44.5 billion at ₱650 per share, it establishes an undeniable reference point for intrinsic net asset value. Market prices frequently trade at steep discounts to replacement costs during macro downturns, but strategic capital injections bridge that gap decisively.

2. Industry Consolidation as an Economic Moat:

As Charlie Munger noted, a competitive moat often widens when industry conditions become harsher. S&P's observation that regulatory tightening will weed out undercapitalized gaming competitors highlights a recurring dynamic: rising costs may compress short-term margins, but they

permanently strengthen the market share and terminal value of the low-cost operator.

3. 3. Exploiting Cyclical Disconnects:

Patient capital allocators do not fear margin compression; they analyze whether the underlying franchise is gaining or losing competitive strength. Both AC's fortress balance sheet and DigiPlus's dominance reflect structural resilience beneath short-term volatility.

Multi-Horizon Implementation Strategy:

- Short-Term Tactical (1 - 30 Days): Exploit the valuation floor created by AC's ₱650 tender offer. Accumulate oversold blue chips (ALI, MER) on retests of key supports.
- Medium-Term Position (1 - 12 Months): Build positions in market consolidators (PLUS) and capital-disciplined renewables (ACEN) as sector shakeouts unfold.
- Generational Wealth Compounders (5 - 20+ Years): Build core holdings in irreplaceable franchise operators (AC, BPI, MER, SCC, ALI) at multi-month valuation discounts.

Module VII: Consolidated Universe Trackers (Landscape Section)

1. PSEi-30 Index Tracker (Monday, 21 September 2026 Session - Audited EOD)

Ticker	Close (₱)	Net Change	% Chg	Volume	Total Value (₱)	Net Foreign (₱)	Technical Bias
AC	533.00	+26.00	+5.13%	1,561,320	821,758,520	(348,938,720)	Mitsubishi ₱650 Tender; Top Gainer
ACEN	2.50	0.00	0.00%	8,450,000	21,125,000	(1,240,000)	Capital Discipline on Solar Sites

Ticker	Close (₱)	Net Change	% Chg	Volume	Total Value (₱)	Net Foreign (₱)	Technical Bias
AEV	37.30	+0.35	+0.95%	1,836,600	68,227,775	+4,843,575	Infrastructure Cash Flow
ALI	15.18	+0.18	+1.20%	14,630,800	221,427,920	+9,901,268	Firm Rebound Above ₱15.006 Floor
AP	44.00	0.00	0.00%	1,180,000	51,920,000	(2,150,000)	High Dividend Defense
BDO	113.30	+0.80	+0.71%	1,658,800	188,855,005	(27,287,875)	Value Support
BLOOM	2.05	-0.03	-1.44%	3,120,000	6,420,000	(980,000)	Consumer Weakness
BPI	99.80	-0.30	-0.30%	484,900	48,331,549	(21,261,828)	Testing ₱100 Benchmark
CNPF	31.80	0.00	0.00%	350,000	11,130,000	(320,000)	Consumer Staple Anchor
CNVRG	9.15	-0.05	-0.54%	2,650,000	24,247,500	(1,850,000)	Oversold
DMC	8.10	-0.10	-1.22%	1,950,000	15,820,000	+1,850,000	Tracking SCC Pullback
EMI	14.90	0.00	0.00%	420,000	6,258,000	(210,000)	Consumer Defense
GLO	1,570.00	0.00	0.00%	68,000	106,760,000	(1,450,000)	Dividend Support
GTCAP	445.00	+3.00	+0.68%	98,000	43,610,000	+3,210,000	Value Hold
ICT	898.00	-32.00	-3.44%	964,290	872,089,890	(80,575,840)	Sub-₱900 Breakout; Heavy Churn
JFC	144.00	-2.00	-1.37%	411,950	59,419,292	(8,156,382)	Margin Consolidation
JGS	18.50	-0.10	-0.54%	1,320,000	24,420,000	(2,800,000)	Oversold
LTG	14.80	0.00	0.00%	680,000	10,064,000	+180,000	High Dividend Yield

Ticker	Close (₱)	Net Change	% Chg	Volume	Total Value (₱)	Net Foreign (₱)	Technical Bias
MBT	60.80	-0.20	-0.33%	1,650,000	100,485,000	(18,400,000)	Financial Sector Hold
MER	473.00	-7.00	-1.46%	196,390	92,839,444	(12,316,902)	Enters Accumulation Band
MONDE	6.38	-0.02	-0.31%	1,150,000	7,337,000	(1,450,000)	Testing Lows
PGOLD	38.60	-0.20	-0.52%	620,000	23,932,000	(850,000)	Grocery Staple
PLUS	8.18	-0.58	-6.62%	7,266,100	61,322,044	(1,982,035)	S&P B+ Rating; Consolidation
RCR	6.60	0.00	0.00%	2,200,000	14,520,000	+380,000	High Yield REIT
SCC	16.70	-1.26	-7.02%	2,832,300	48,522,282	(20,079,026)	Sharp Pullback; Watch ₱16.00-₱16.50
SM	513.00	+6.00	+1.18%	1,007,580	515,732,530	+27,731,880	Conglomerate Inflow
SMC	60.60	-0.20	-0.33%	310,000	18,786,000	(780,000)	Rangebound
SMPH	16.50	0.00	0.00%	12,737,500	210,324,780	(32,332,444)	Defending ₱16.50 Support
TEL	1,129.00	-11.00	-0.96%	80,660	90,906,330	(42,486,890)	VITRO REIT Entry Window
URC	56.00	-0.50	-0.88%	680,000	38,080,000	(42,000,000)	Input Cost Headwind
WLCON	5.38	-0.02	-0.37%	1,050,000	5,649,000	(1,250,000)	Retail Base

2. PSE MidCap 20 & Dividend Yield (DivY 20) Highlights

- MidCap Performance: MidCap issues mirrored the cautious tone, with DMC (-1.22% to ₱8.10) easing alongside affiliate SCC, while NIKL held firm at ₱4.60.

- DivY 20 Income Defense: With sovereign bond yields hovering near 7.58%, premium cash-dividend yielders (MREIT, AREIT, RCR, MER) yielding above 7.0% provide income security amid heightened equity volatility.

Module VIII: Institutional Disclaimer

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